

The top twelve risks and opportunities for 2022



By **Mathew Burrows** and **Robert A. Manning**

It’s been more tug-of-war than clean break, but 2021 will mark the year rich countries began extricating themselves from the COVID-19 crisis. With ongoing vaccination challenges in much of the world and the worrying emergence of the Omicron variant, along with supply bottlenecks plus rising inflation and debt, the pandemic continues to exert its relentless push and pull on a beleaguered world. All the while the formidable geopolitical problems that world was wrestling with pre-COVID—from spiraling tensions between the West and China and Russia to the dearth of international action to counteract climate change—haven’t gone away. Just the opposite.

So what will 2022 bring?

Drawing on our many years of experience in forecasting global trends and developments at the US National Intelligence Council, where we were tasked with providing US leaders with long-range analysis and insight, we have identified the top twelve risks and opportunities in 2022 for the world from a US perspective. (Note also what doesn’t appear in these lists; potential crises over Taiwan’s status or North Korea’s nuclear weapons could be catastrophic, but in our judgment these long-simmering issues are unlikely to come to a boil in 2022.) We’ve ordered the scenarios by importance and assigned each a probability; “medium” means a 50/50 chance that the scenario will occur within the next year.

Top risks



The lack of COVID-19 vaccination in developing countries triggers new variants that are potentially more contagious and lethal

Although **a small majority** of the world's population has now gotten at least one dose of a COVID-19 vaccine, some regions are in far better shape than others; in Africa, for example, just 12 percent of the population had received at least one dose as of December. Developed countries have largely failed to protect their weaker and poorer counterparts. The COVAX global vaccine coalition, for instance, has distributed just 400 million doses, far short of an **initial 2021 goal of 1.9 billion**. At the current rate, African populations won't be largely vaccinated until sometime in 2023 or later, which likely will lead to lower economic growth and political instability. Besides reflecting shamefully on the West's humanitarian values, the large numbers of unvaccinated could prove highly dangerous for Western citizens. The Delta variant, first detected in India and far

more contagious than past strains, quickly spread worldwide, overwhelming hospitals in rich countries and even breaching the defenses of those already vaccinated. The Omicron variant, which was first identified in southern Africa, now appears much more contagious than Delta, although its severity has yet to be fully determined. The longer much of the global population remains unvaccinated, the greater the chance of virus mutations that produce more contagious, severe, or vaccine-evasive variants. Even if vaccination coverage greatly increases, many experts believe we should be prepared to live with an **endemic threat** from COVID-19.

Probability:



Russia attacks Ukraine

Russia’s large military buildup near its border with Ukraine has heightened concerns that Russian President Vladimir Putin sees in his neighbor “**unfinished business**.” Putin **has written** that Ukraine is not a true nation and that “Russians and Ukrainians were one people—a single whole.” If Putin, who seems increasingly mindful of shaping his legacy, were to act on such instincts, he has a spectrum of options for weakening Ukraine and thus keeping the country in Russia’s sphere of influence and as a dependable buffer against NATO. Ramped-up US/NATO political and military support for Ukraine or a near-confrontation in the Black Sea between Russian and NATO forces may tempt Putin to call the West’s bluff. Some **observers argue** that Russian fears of potential retaliatory measures—such as the cancellation of the Russian Nord Stream 2 gas pipeline to Germany, US sanctions against Russian banks or the secondary market for Russian debt, and increased NATO deployments to neighboring NATO states—would deter Russian military aggression. But in Putin’s mind passion to avenge what he sees as US betrayal through NATO expansion in the former Soviet space may override the likely costs of an intervention. In escalating severity, possible Russian intervention scenarios include:

- military threats or aggression to press for negotiated reductions of US/NATO military support for Ukraine and talks on **other issues of contention**;
- military and economic coercion (taking advantage of Europe’s dependence on Russian gas, for instance) to forcibly implement the Russian interpretation of the **Minsk agreements**, including a Ukraine that remains neutral between East and West and some degree of autonomy for the Donbas region in a federated Ukraine;
- and a full-scale Russian military invasion to seize control of Ukraine and/or put in place a Russia-friendly government.

Probability:





As China peaks, its economy sputters—sparking global disruptions

For all the fear of a rising China, its weakness may pose the greatest risk. President Xi Jinping’s crackdown first on the tech sector and now on the property sector, which accounts for **some 29 percent** of China’s economy, highlights the **fragility of the country’s economic system**. The concern is that energy shortages, demographic decline, declining growth and productivity, and debt (exemplified lately by the **beleaguered property giant Evergrande** but **running much deeper** in a country saddled with total debt that is **290 percent of its gross domestic product**) reflect an **outdated economic model**. Yet Xi may see needed market reforms promised in 2013, but then rejected, as too difficult politically to implement. Instead, the Chinese Communist Party (CCP) **has opted for** bolstering state-owned enterprises and control of the private sector—despite private firms serving as a major source of growth and innovation in the past. Some national-security analysts **fear** that Xi may compensate for lower growth with a more aggressive military policy toward Taiwan and beyond in order to shore up the CCP’s nationalist legitimacy. But an

economically struggling China could also unravel global stability: China has driven some **30 percent of global growth** for the past decade. As well as being more confrontational, a weak China could thus tank economic growth around the world, while disrupting financial markets and supply chains. The attendant lost wealth and jobs could spark unrest and/or intra-party turmoil in China as well.

Probability:



Afghanistan collapses, and the United States can’t escape its consequences

Afghanistan is enduring an unprecedented humanitarian crisis, and possible state collapse looms in 2022. According to the United Nations’ World Food Program (WFP), **23 million Afghans** faced imminent starvation before the winter—forecast to be severe—even began. It is difficult for the World Bank and other development agencies to directly assist Afghans due to the country’s chaotic payments system and international prohibitions on aiding the Taliban. The United Nations warns that Afghanistan’s **banking system** may be nearing collapse, **endangering humanitarian-relief efforts**. The Afghan economy (except the drug trade) is **at a standstill**, after the US exit cut off some \$8.5 billion a year (40 percent of the country’s gross domestic product) and the International Monetary Fund froze some \$9 billion in foreign assets. The Taliban is contending with rival jihadist groups such as the Islamic State, raising the risks of increased terrorist activity around the world—including possible attacks against US interests as well as those of Russia and China. According to the **United Nations**, there are now at least 2.6 million Afghan refugees—mostly in Iran and Pakistan—and another 3.5 million internally displaced people, and the worsening situation in the country could propel more refugees to Europe.

Probability:





Developing countries suffer more severe economic troubles and a rash of political instability

The second-biggest casualty from COVID-19—after the more than five million people who have died from it—is the global middle class. The **Pew Research Center** estimates that the pandemic-induced recession left 131 million more people in poverty. Even those who have managed to hang on to the middle class in the developing world are poised to confront spiraling economic insecurity due to the political and economic aftershocks of the pandemic, which will continue to range for some time in many of these countries. **India**, which has shed 32 percent of its middle and upper-middle classes combined, could finish 2021 with a gross domestic product that's 5.2 percent smaller than it would have been without the pandemic. Rising inflation in the United States and Europe threatens to further destabilize economies in the developing world at a time when they need to recapture lost growth. If the Federal Reserve and European Central Bank raise interest rates to counter inflation, past patterns suggest that capital will swiftly leave poorer countries for higher returns with less risk in richer countries. These countries would then face a Catch-22: **As**

the economists Rabah Arezki and Jean-Pierre Landau wrote for Project Syndicate, “Policymakers can either let their currencies depreciate, which would fuel inflation, or hike interest rates, which would adversely affect growth and debt sustainability.” The international community will need to inject funds into poorer countries to stabilize their currencies and help them navigate a dangerous period. Without such help, political instability will gather momentum, bringing down several governments.

Probability:



Oil tops \$100 per barrel

Predicting boom/bust cycles in the oil market is always hazardous. There are conflicting forecasts, with the US Energy Information Agency **foreseeing a drop** from a price of eighty-four dollars per barrel of Brent crude oil this fall to sixty-six dollars per barrel by this time next year, while many private-sector **analysts** and hedge funds are betting on a prolonged price spike. The proximate causes of the current price increase are the 2021 surge in demand after a pandemic-driven drop, limited production hikes by the Organization of the Petroleum Exporting Countries (OPEC), and the effects of several years of declining investment in oil and gas. An **insightful recent study** highlights new risks posed by longer-term structural changes in the energy industry—from inflation, recession, and debt defaults to energy-security concerns—as OPEC and Russian state-owned oil firms dominate investment and production, and thus the geopolitics of oil, amid a protracted global transition to clean energy.

Probability:





The world fails to meet its climate goals from the inconclusive Glasgow summit

Global carbon emissions have grown by 60 percent **since the Kyoto Protocol** was signed in 1997, and the climate-change accord from this year’s twenty-sixth UN Conference of the Parties (COP26) in Glasgow doesn’t assuage concerns about the risks of accelerated climate change or the likelihood of achieving the goal of curbing average temperature rise to less than 2 degrees Celsius above pre-industrial levels. Prior to COP26, if all pledges from the 2015 Paris climate deal had been met (few were), global temperatures were still **projected to rise** 2.7 degrees Celsius by 2100. World leaders projected a new seriousness at COP26, with its final agreement calling for the “phasing down” of coal and separate agreements aiming to slash deforestation and methane emissions, establish global rules for carbon trading, and foster US-China climate cooperation. Despite this progress, **the pledges were all characteristically vague**. The International Energy Agency has issued a **detailed roadmap** for reaching net-zero emissions by 2050, which will require an end to new oil and gas projects by next year—along with a tripling of

investment in solar and wind energy to \$4 trillion and a quadrupling of investment in smart grids by the end of this decade. Such progress is technically possible, but politically highly improbable absent dramatic new action well beyond what was agreed to at COP26.

Probability:



A bifurcated world emerges, but it’s not a repeat of

the Cold War with the Soviets

Washington has fallen in love with the idea of re-running the Cold War, undoubtedly with the same ending of the West triumphing. Some focus on what’s different between the economically anemic Soviet Union and today’s omnipresent China—a top economy and major high-tech innovator, along with its status as the world’s number-one trading power and **capital exporter**—should cause the Beltway to rethink the merits of a bifurcated world. The Chinese economy has grown so interdependent with US and Western economies that all would suffer in such a world. China was America’s **largest trading partner** for goods last year, at \$559.2 billion, and **Wall Street** is also getting in on the action, with BlackRock raising one billion dollars in September for China’s first foreign-run mutual fund.

Meanwhile, Chinese leaders are frantically trying to **de-Americanize China’s supply chains**. China’s biggest vulnerability is its lack of a high-tech chip industry. But since cutting US supplies would hurt American manufacturing, the Biden administration has been hesitant to hit Beijing there. Should the **gloves come off**—as **some in Washington** advocate—it’s unlikely that China will be brought to its knees. What could instead result is a bifurcated world where we are all poorer and more prone to conflict. US businesses would miss out on new opportunities in China and perhaps elsewhere in Asia. The division would also come in the form of digital blocs, producing a race to the bottom and different standards concerning robotics, quantum computing, artificial intelligence (AI), and bioscience (such as CRISPR gene editing). The notion that Europe would follow the United States down this road is dubious given the dependence of Germany and others on trade with China, twined with the European Union (EU)’s preference for using regulation to address Chinese practices it disagrees with rather than decoupling economically from China. In a Cold War with China, happy endings are far from guaranteed.

Probability:





Food insecurity worsens, propelled by COVID-19, climate change, and conflict

As we **warned last year**, a combination of the pandemic, extreme weather, and violent conflict is stoking food insecurity. Fifteen million more people are now at risk of starvation relative to before the pandemic started in 2019, according to the World Food Program. In November, **the WFP warned** that forty-five million people are on the brink of famine across forty-three countries, with higher food and transportation costs straining the budgets of families and aid organizations alike. One of the main drivers of this year’s increase has been the humanitarian catastrophe in Afghanistan, which is now home to the world’s worst food crisis. Over the next decade, the **World Bank has said** that food systems need a \$300-350 billion per year “transformation” to reduce greenhouse-gas emissions and protect the environment while also feeding a world population set to grow to ten billion by 2050.

Probability:



More countries slip from their current fragile state into failure

The countries at the top of each year’s **Fund for Peace Fragile States Index** rarely change. Yemen, Somalia, and Syria (in that order) reappeared again on its 2021 list under “very high alert,” and many would argue that they have tipped over into **state failure**. Even some of the countries in the next tier of “high alert” are close to if not already experiencing state failure: South Sudan, Democratic Republic of Congo, Central African Republic, Chad, Sudan, and Afghanistan. Worryingly, such large countries as Ethiopia and Nigeria are not too far behind—and their collapse would trigger major regional convulsions. It’s clear that the underlying conditions that we know cause state failure are worsening and metastasizing in these countries. Propelled by increasing drought and water scarcity, a food crisis (see above) is spreading; without **vast investment in more capable food systems**, we should expect such crises to occur well beyond the highest-alert countries. **Armed conflicts** are also becoming increasingly protracted, intense, complex, and dangerous to civilians. COVID-19 is an added burden, increasing the **poverty rate in many poorer countries** and **pushing debt to record levels**. It’s easy to become inured to doomsaying, but in 2022 the dismal outlook looks warranted.

Probability:





Western efforts to revive the Iran nuclear agreement fail

The Iranian government has issued **escalating demands** for the United States to ease sanctions and grant assurances prior to Tehran assenting to a new deal to curb its nuclear program, even as the regime **increases its nuclear-enrichment efforts**. Israeli cyberattacks on Iranian nuclear facilities—and Iran’s response to those activities—are escalating. Congressional pressure is building on President Joe Biden to impose tougher sanctions on Iran and to take action against Iranian sanctions-breaking activities such as oil sales to China. Military action against Iran’s nuclear program by the United States or Israel cannot be ruled out. Iran, meanwhile, has the ability to conduct drone and missile attacks against Gulf oil facilities and US military bases—and to use Hezbollah or other surrogates to engage in a shadow war with Israel. If tensions deepen, there’s always the chance that miscalculations or inadvertent clashes lead to a major military confrontation with Iran.

Probability:



US democracy further decays

The coming year is shaping up to be one in which American democracy erodes significantly. Freedom House’s **2021 report**, which documented a global democratic retreat, highlighted an 11-point decline in its freedom score for the United States over the past decade—putting the country

among the roughly two dozen nations with the steepest declines over that period. The organization cited the January 6 attack on the US Capitol, which sought to overturn the 2020 presidential election based on false claims of election fraud that are still promoted by ex-President Donald Trump and have been adopted by much of the Republican Party. **Polls** suggest that some 70 percent of Republican voters, and 30 percent of voters overall, believe that Biden was not legitimately elected, despite all evidence to the contrary. As social-media-borne disinformation and conspiracy theories abound, the country’s political divide appears to be widening ahead of the 2022 elections—with each side seeing the other not as opponents but as enemies. An alarming number of Americans now **view violence** as acceptable, including nearly a third of Republicans. Gerrymandering and new election laws in **at least nineteen states**, some **empowering more partisan state legislatures** rather than state election officials to determine election results, could tilt outcomes. With the **GOP positioned** to retake the House and possibly the Senate in 2022, America’s polarization and sectarian tensions look poised to only increase.

Probability:



Top opportunities



World Trade Organization members make needed reforms

If the Biden administration wants to make good on its rhetoric about upholding an inclusive, rules-based international order, halting economic fragmentation and COVID-fueled protectionism should be a priority. That requires fixing a broken World Trade Organization (WTO), which governs **as much as 80 percent** of global trade. Absent the WTO setting rules that allow nations to raise concerns and settle their disputes, the world would drift toward trade restrictions and regional blocs dictated by major economic powers. In a **well-received recent speech**, US Trade Representative Katherine Tai issued sharp criticisms of the WTO but pledged a US commitment to reforming it. Such reforms are necessary and doable, starting with a reinvented dispute-settlement mechanism that avoids litigation and boasts an effective oversight board. They should also

include transparency on subsidies, new digital-commerce rules, a greater role for climate and labor rights, and trade liberalization focused on specific sectors.

Probability:



Researchers develop a universal vaccine against all

coronaviruses

By now, most of us have realized that SARS-CoV-2 is not going away anytime soon. Heading into the third year of living with the virus, we’re seeing more waves of infections even in areas where there are relatively high vaccination rates—along with a highly concerning new variant, Omicron. Then there are the hundreds of other COVID-type viruses of varying strength in existence, a small minority of which could prove deadly. New research suggests that **other animals besides bats** could be carriers of SARS-like coronaviruses. We need a universal vaccine against all coronaviruses, including SARS-CoV-2 variants present and future, and some promising research along these lines is already underway. Scientists at the University of North Carolina’s **Gillings School of Global Public Health**, for example, have been working on just such a vaccine and seen encouraging results with mice. Their approach is similar to that of the Pfizer and Moderna vaccines, except they merge mRNA from several coronaviruses. Many **other scientists are engaged** in parallel efforts. All of this could yield the key to containing the next outbreak. The US government should make this research a national priority and scale it so everyone in the world can benefit from the results.

Probability:





World powers cooperate on new AI standards and regulations

AI applications—from facial recognition to employment screening— are increasingly being deployed across industries and will become ubiquitous during this decade. Yet there are few agreed-upon global rules or standards in this realm. Though AI is a technology dominated by the United States and China, the European Union is seeking to create a regulatory framework that can establish such standards. A **draft** Artificial Intelligence Act before the EU Parliament and European Commission sets detailed strictures for AI use and commerce based on a hierarchy of risks (with job recruitment, critical infrastructure, and law enforcement among those identified as high-risk). While there is widespread overlap in declarations on AI ethics by the United States, the EU, Japan, and China, common ethical values have not been put into operation. The EU's initiative should spur

the United States to forge global AI norms. The new US-EU Trade and Technology Council should prioritize building a transatlantic consensus on these issues, which can lay the groundwork for a broader agreement among the Group of Twenty (G20) nations.

Probability:



The United States and the European Union forge a

transatlantic approach to digital regulation

The EU is beginning to define its concept of “tech sovereignty” as a means of making the union more competitive. A **package of pending legislation** mainly targets large US tech firms that the EU sees as “gatekeepers” in setting the terms of data commerce. This regulatory approach would rein in US companies and change their business models, widening the transatlantic gap on tech regulation. The US Congress should see the EU’s ambitions as an opportunity to move on the United States’ own digital regulations while the Biden administration should prioritize efforts to find common ground with the EU on digital matters. A US-EU consensus would create leverage for establishing global standards on these issues.

Probability:





The United States helps avoid another Ukraine crisis

The growing crisis triggered by Russia’s threatening troop movements against Ukraine should be turned into an opportunity to put relations between Russia and the United States on steadier ground. One step to slow the current momentum toward a dangerous confrontation would be for the United States and European Union to broker talks designed to get Moscow and Kyiv to adhere to an updated **Minsk II** framework. The United States should not assume that increasing sanctions on Russia or arms shipments to Ukraine will deter Putin; just as likely, they will goad him into making further incursions against his neighbor before it becomes too costly for him to do so. The conflict in Ukraine can no longer be set aside in Biden’s efforts to stabilize the US-Russia relationship by establishing red lines on cyber warfare and other strategic issues. If Washington finds ways to finally lower tensions over Ukraine, it could open up more opportunities to reduce friction with Moscow—at a time when the United States would rather focus on China.

Probability:



China and the United States reach a détente

Though **media reports portrayed** the Biden-Xi summit as **merely more words**, the nearly four-hour meeting in November appeared to signal a recognition by both leaders that relations between the two superpowers are spinning out of control and toward conflict—at a time when Biden

and Xi must also focus on difficult domestic agendas. The summit, **as Biden said**, was intended to put in place “guardrails” to reduce risk and incrementally create a framework for managing a competitive coexistence between the countries. The two leaders, in effect, set a mandate from the top to their respective senior officials and bureaucracies to unwind the building confrontation and work through the thorny differences that brought them to the brink. In response, the US and Chinese governments **restored** senior-level military-to-military talks. Perhaps most importantly in light of **Beijing’s buildup of its nuclear-weapons arsenal**, Xi seemed to reverse China’s stance for more than a decade by **moving toward engaging** in a nuclear-arms dialogue with the United States—reflecting the fact that new mutual vulnerabilities with regard to nuclear weapons could motivate the two countries to establish new guardrails. Possible areas for cooperation include shared interests related to trade, climate change, and energy security along with addressing the challenges posed by instability in Afghanistan and the nuclear programs of Iran and North Korea. It remains unclear whether the US-China relationship will reach a new normal or revert to the downward spiral of distrust characteristic of recent years. But there is now at least an opportunity to test each other’s intentions.

Probability:





The United States launches an Asia-Pacific digital-trade accord

US Indo-Pacific strategy has a gaping hole on trade. The United States should plug it with a big opportunity: fast-growing digital commerce, which accounted for **17 percent of global retail trade in 2020**. There is a compelling case for a regional agreement that builds on high-quality digital-trade language in the US-Mexico-Canada Agreement, the US-Japan Digital Trade Agreement, and the Trans-Pacific Partnership (before the United States withdrew from the pact). A new type of accord—akin to the **Singapore-New Zealand-Chile Digital Economy Partnership Agreement** (DEPA), which some officials in the Biden administration see as a model—could pioneer a more inclusive worker- and small business-friendly approach. DEPA takes that tack with provisions on e-invoicing, express shipments, interoperable fintech (e-payments), trusted networks, and AI cooperation. And it’s modular, permitting nations to accede to only parts of the agreement.

Probability:



The world seizes low-hanging fruit on climate change

The **COP26 final statement** fell short of putting the planet on a path to limit global warming to less than 2 degrees Celsius. But stopping deforestation, slashing methane emissions by 30 percent, and establishing global carbon-trading rules could all have significant payoffs in

greenhouse-gas reductions if those pledges from the climate conference are actually implemented over the next decade. The US-China climate accord also announced in Glasgow could help accelerate those goals by, for example, contributing to a push for a 50 percent methane reduction by 2030. Ramping up US natural-gas exports to China, the world’s largest coal consumer, would be the fastest way to phase down growing Chinese coal use. Another useful step would be to add enforcement provisions to the carbon-trading rules delineated at COP26. The G20 could flesh out the conference’s vague deforestation pledge by encouraging nations to plant one billion trees by 2025 with the assistance of public-private partnerships. Governments could give farmers credits for improving their land to better capture carbon. The **bipartisan infrastructure law** recently signed by Biden will retrofit buildings to make them more energy efficient, fund hundreds of thousands of electric-vehicle charging stations, and invest billions of dollars in smart grids so that utilities make more use of renewable energy, while the Build Back Better legislation, whose passage **is now in doubt**, **devotes half a trillion dollars** to fighting climate change. These initiatives don’t amount to the big-bang climate solutions that many hoped would come out of COP26. But they’re not nothing either.

Probability:





The United State, China, and Russia start cooperating in space

On November 15, Russia fired a missile to destroy one of its satellites and created more than 1,500 traceable pieces of debris in low-earth orbit, forcing crew members of the International Space Station to take shelter in their spacecrafts in case the station was hit. Moscow **claims** the missile test was needed because of US plans to upgrade its strategic missile-defense systems. The United States, China, and Russia have all added debris to space over the years, and they increasingly see space as a key domain for military competition. Hundreds of thousands of pieces of debris **are now hurtling** through space at around 15,500 miles an hour, threatening human space flight and the nearly **five thousand active satellites** in orbit. Our tech-dependent way of life would be imperiled if communications satellites are disabled, and the dangers are only increasing: By **one estimate**, there could be one hundred thousand satellites in orbit by 2030. No international system of space-traffic control **exists**, and there is no independent global body providing data on satellite positioning and trajectories. A good first step would be for the United

States, China, and Russia to reach some understandings on their moon missions. The Russians **have rejected** an invitation to join the NASA-led Artemis project, citing the “departure of our American partners from the principles of cooperation and mutual support,” and are instead joining with the Chinese to create a competing International Lunar Research Station. While it might be too late for all three powers to cooperate on a single lunar initiative, they could derive mutual benefit from sharing their plans and the results of their explorations.

Probability:



The United States takes the lead in responding to an ailing Latin America

Latin America has been hit especially hard by COVID-19. The middle class there could lose its foothold and, in a repeat of the 1920s and 1930s in Europe, **turn away from democracy** as a result of impoverishment. In response, the Biden administration must do more than just increase foreign aid to the region to stop migrant flows. A Bill Clinton-style Free Trade Area of the Americas is likely a bridge too far given the aversion of the Biden administration and Congress to large-scale regional trade agreements. But the United States can still play an active role in fostering debt relief, assisting with climate-change adaptation and mitigation, building up an existing **high-tech base**, and nurturing greater regional cohesion. While increasingly focused on China and Asia, the United States can’t afford to ignore its own region, particularly since many of the day-to-day issues Americans worry about—immigration, the drug trade, climate change (via the destruction of the Amazon rainforest)—have their roots there. Next year’s Summit of the Americas is an opportunity for the Biden administration to clarify America’s commitment to its neighbors.

Probability:





Congress strikes an immigration-reform deal

There's an immigration deal to be had if Republicans and Democrats can get beyond their dug-in positions and move toward a reform package that balances the Republican goal of a more secure border with the Democratic desire for citizenship for the eleven million undocumented immigrants estimated to be in the United States. The **last major bipartisan reform effort in 2013** garnered sixty-eight votes in the Senate and would have fulfilled both objectives along with updating immigration criteria to attract more high-skilled immigrants, but House Republican leaders never gave it a vote. The Build Back Better legislation recently passed by House Democrats provides **work authorization—but not citizenship—for up to ten years** to an estimated 6.5 million undocumented workers who have lived in the United States since 2011 and prevents the expiration of hundreds of thousands of unused visas. Even if these measures pass the Senate, which **is unlikely**, they fall well short of comprehensive immigration reform. Congress should remember that immigration is of growing importance for the future of the country: Without new immigrants, the US population is **slated to start declining** in the 2030s.

Probability:



The United States backs the European Union’s strategic autonomy

It’s in the US interest for Europe to take on more responsibilities as a global actor and increase its capabilities. The Biden administration should welcome EU **strategic autonomy** instead of worrying about whether it will harm NATO. So long as the threat posed by Russia persists, Central European countries will want a major role for the United States and NATO in European security. But Russia is not the only threat to the security of Europe, which also faces challenges in the Middle East and Africa in the form, for example, of state failures or refugee and migrant flows. If the Biden administration is serious about making Asia its primary geopolitical focus, it would benefit from Europe equipping itself to manage these other issues on its own.

The EU **defines** strategic autonomy as ensuring its “capacity to act autonomously when and where necessary and with partners wherever possible.” That does not exclude cooperation with the United States, but European leaders want the ability to act independently where it suits their interests—including their exercise of economic power in realms such as technology. The EU has become a norm-setter on data privacy and is venturing into new competition rules to curb the power of US tech giants in Europe. To an extent, **transatlantic economic differences** are nothing new, and debates between Europeans and Americans on an issue-by-issue basis can actually be beneficial for both sides. But arguing with Europe over its right to achieve sovereignty will only undermine the alliance over the long run. Being an ally of the United States should not be equated with subservience to Washington. The United States, which helped facilitate European integration after World War II, should continue to be its chief proponent.

Probability:



Mathew Burrows is the director of Foresight at the Scowcroft Strategy Initiative and the co-director of the New American Engagement Initiative within the Atlantic Council’s Scowcroft Center for Strategy and Security.

Robert A. Manning is a senior fellow with the Scowcroft Center for Strategy and Security and its Foresight, Strategy, and Risks Initiative at the Atlantic Council.

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